
MB 202 : Microeconomics

Course Code : MB 202

Course Name : Microeconomics

L-T-P-C : 3-0-0-3

Intended for : IMBA

Prerequisite :

Mutual Exclusion : Organizational Management HS304 offered by SHSS

Approval: 54th BoA

Course Contents

- **Unit 1:** Nature and scope of Economics || Demand and supply schedule || Law of demand and supply || Elasticity of demand and supply- price, income and cross price elasticity || Market forces-price determination and effect of change of market conditions. (8 Hours)
- **Unit 2:** Theory of consumer behaviour: Utility; cardinal and ordinal utility analysis || Consumer's equilibrium-single and multiple commodity case || Indifference curve: types and properties || Price effect: Hicks and Slutsky methods || Derivation of the demand curve. (8 Hours)
- **Unit 3:** Production function || Law of variable proportions || Returns to scale || Isoquants || Factor substitution || Ridge lines || Internal and external economies and diseconomies || General notes on cost function || Theory of cost: Short-run cost analysis, long-run cost analysis Iso cost || Least cost combination || Concept of revenue: total, average, and marginal revenue || Revenue and elasticity || Break-even analysis. (10 Hours)
- **Unit 4:** Introduction to market || Perfect and pure competition: assumption || Short-run equilibrium: firm equilibrium in the short-run, supply curve of the firm and industry, short-run industry equilibrium || Long-run equilibrium: firm equilibrium in the long-run, industry equilibrium in the long-run, optimal resource allocation. (8 Hours)
- **Unit 5:** Monopoly: definition, demand, cost and revenue || Equilibrium of the monopolist: shortrun equilibrium and long-run equilibrium || Comparison of pure competition and monopoly || Price discrimination || Monopolistic competition || Oligopoly: non-collusive oligopoly and collusive oligopoly. (8 Hours)

Textbooks:

1. Pindyck, **Microeconomics**, Pearson Publisher.
2. Koutsoyiannis A., **Modern Microeconomics**, Macmillan Publishers.

References:

1. NA